

bear market should be sucking price lower even as price climbs upward after turn D. You'd think that a count of patterns failing to gain more than 5% of altitude would be high, but it's not.

A check of the spreadsheet shows everything in order. There were 152 patterns involved in the computation, which is short of the 173 bear market samples. That's because the remainder didn't turn upward at D (they continued lower) and so are not counted. Perhaps the dearth of samples is the reason for the low failure rate.

Average rise after D. The table shows the average rise as measured from the low at D to the ultimate high. The ultimate high is the highest high before price tumbles by 20% or before the stock closes below the low at D.

Even though the numbers are below average compared to non-Fibonacci chart patterns, they are high enough for short-term-minded swing traders.

Volume trend, performance. In bull markets, the volume trend is about random. In bear markets, the pattern has an upward volume trend. That's a bit odd because most chart patterns see volume recede.

Bull market performance is probably not statistically significant, but the bear market numbers show a wide performance difference. Samples are few, 77 for up volume and 75 for down, giving a six-percentage-point performance spread between 31% and 25%. In short, in bear markets, look for upward-trending volume for the best performance.

Table 17.2 General Statistics

Description	Bull Market	Bear Market
Number found	709	173
Breakeven failure rate	11.4%	2.6%
Average rise after D	39.5%	27.8%
Volume trend	52% Downward	65% Upward
Performance Up/Down volume	40% U, 39% D	31% U, 25% D